

"A masterclass in how stablecoins have moved beyond
the trading desk and into the real economy."

—Tianwei Liu, CEO, StraitsX

INTERNET MONEY

THE RISE OF STABLECOINS

KENNETH BOK

AUTHOR OF *DECENTRALIZING FINANCE*

FOREWORD BY ALEX MANSON, CEO, SC VENTURES

PRAISE FOR *INTERNET MONEY*

“Kenneth Bok’s *Internet Money* arrives at a pivotal moment in the evolution of finance. More than a book about stablecoins, it is a timely exploration of how money itself is being reimagined in an increasingly digital, borderless, and interconnected world. Bok succeeds in translating a complex and often misunderstood subject into a compelling narrative that bridges technology, economics, geopolitics, and public policy. His central insight, that stablecoins have evolved from a niche crypto innovation into a foundational layer of global financial infrastructure, is both persuasive and increasingly difficult to ignore.”

—**Dante Disparte**, Chief Strategy Officer & Head of Global Policy, Circle

“Kenneth Bok provides a masterful look at how stablecoins have moved beyond the speculative fringes to become the core infrastructure of a new, programmable global economy. While bridging the gap between traditional finance and fintech, *Internet Money* raises the most critical questions our industry must face regarding the future of monetary sovereignty and digital trust. It is an essential guide for anyone looking to understand how the digital dollar is fundamentally rewriting the rules of money.”

—**Kenny Chan**, Head of Stablecoin Ecosystem, Coinbase

Kenneth Bok has written the definitive guide for banks, corporates, and institutional investors navigating the rise of stablecoins. *Internet Money* weaves together the technology, regulation, and market dynamics with remarkable clarity, offering both strategic perspective and practical grounding. Essential reading for anyone whose world is being reshaped by the digitisation of money.

—**Dr. Steven Hu**, Managing Director, Head of Digital Assets, Global Markets, OCBC

“Stablecoins have officially moved beyond the trading desk and into the real economy. At StraitsX, we are proving this daily through innovations like cross-border QR ‘scan and pay’ and stablecoin-linked Visa cards that make digital assets as spendable as cash. Kenneth Bok’s *Internet Money* is a masterclass in understanding this shift. He perfectly captures why the future of money isn’t just about moving value: it’s about making that value invisible and accessible to everyone, everywhere.”

—**Tianwei Liu**, Co-Founder & CEO, StraitsX

“Internet Money is a timely and insightful practitioner’s account of the rise of stablecoins and their implications for the global financial and monetary system. Kenneth Bok brings clarity to a fast-evolving landscape, with particular value for policymakers and financial professionals navigating regulatory and institutional change. Building on his earlier work, *Decentralizing Finance*, this is another important contribution to the fintech literature.”

—Dr. Yougesh Khatri, Associate Professor, Nanyang Business School, NTU Singapore; Associate Fellow, Chatham House

“Kenneth masterfully delivers the full stablecoin story through a lens that is both theoretically rich and eminently practical. This work serves as an essential bridge, offering a simple path for novices to understand this complex world while providing the depth required to challenge even the most advanced practitioners. By weaving together economics, regulation, and history, he has created a masterfully told narrative that is a must-read for anyone looking to understand the future of digital assets.”

—Augie Ilag, Partner, Head of Asia, CMT Digital

“Finally, a book that sees stablecoins from a uniquely Asian perspective. Kenneth Bok brings a sharp analytical lens to their impact on the people who use them and on long-term geopolitics, and refreshingly, he doesn’t flinch from the risks that stablecoin advocates prefer to ignore. Best of all, he traces their role in a widening East-West divide: the US pushing dollar stablecoins to extend the dollar’s reach, while China pushes the digital yuan to curb it.”

—Richard Turrin, author of *Cashless: China’s Digital Currency Revolution*

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FOREWORD

I have spent most of my professional career in finance as it is, while questioning how it should be. Running SC Ventures means living with that tension every day: on one side, the discipline and obligations of a global bank with a unique footprint and rich history; on the other, the restless inventiveness of the technology frontier. Much of what emerges from that frontier doesn't survive the journey into the regulated world. Digital assets, and stablecoins in particular, have been among the rare exceptions.

When dollar-denominated tokens first appeared, the reaction across much of finance was to look away. They were seen as a curiosity of the crypto markets: useful perhaps to a narrow community of traders, but largely irrelevant to the wider economy. That assessment was understandable. It was also wrong.

Internet Money explains why with unusual clarity. What Kenneth Bok chronicles is the quiet migration of stablecoins from the margins of speculation to the foundations of financial infrastructure. An instrument that began as a trader's convenience increasingly settles real economic value, moves capital across borders in seconds, and is finding a place in payments, treasury, foreign exchange, and capital markets. Infrastructure rarely announces itself; it simply becomes the thing everything else comes to rely upon.

The turning point was not technological but institutional. The technology had worked for years. What changed was legitimacy. The GENIUS Act in the United States, MiCA in Europe, and comparable regulatory frameworks across Asia and the Gulf have provided the foundations upon which serious financial institutions can build. They have drawn a distinction between regulated innovation and unregulated experimentation, inviting banks, asset managers, and corporates to participate with confidence.

These are not abstract developments. At SC Ventures, we have long believed that the financial system is being rebuilt at the infrastructure layer, and that incumbent institutions cannot respond simply by observing change from a safe distance; they have to participate in building it. Banks have a central role to play in that transition. Their value lies not

simply in moving money, but in providing trust, governance and accountability at scale. Better infrastructure does not reduce the need for those qualities; it increases their importance.

I made that argument in my earlier book, *Nothing Ventured, Nothing Gained*: that banks serious about their future must be willing to disrupt themselves rather than merely defend the status quo. Building ventures from scratch, investing in some of the partners we work with, and continuously innovating, offer together a far greater chance of meaningful transformation than any one of them alone.

Our group chief executive, Bill Winters, has long been one of the clearest voices on how digital assets will reshape financial services. That belief, shared across the group's leadership and board, has enabled us to position Standard Chartered at the forefront of this structural shift. Much of the work has focused on the connective tissue between traditional and digital finance: custody, trading infrastructure, tokenization, with the governance and "conduct of business" that banks, institutions, and ultimately, societies should expect.

Several years ago we concluded that digital assets would mature from experiment into infrastructure, and that the institutions building the regulated rails early would matter disproportionately once broader adoption occurred. We backed that conviction across the value chain: enabling institutions to safeguard digital assets, trade them efficiently, and tokenize real-world assets such as funds and bonds. Today we are extending that stack further into institutional credit and prime brokerage. For us, the transition Kenneth describes has become an operating reality.

Among these developments, stablecoins have emerged as perhaps the clearest expression of the broader thesis. Properly regulated, they become practical tools for settlement, treasury management, and cross-border commerce. Their greatest impact may ultimately be felt along the emerging-market corridors where moving money can be slow, expensive, and uncertain. There, the ability to transfer trusted digital dollars almost instantly has the potential to change the economics of commerce and finance.

The implications extend well beyond any individual institution. Stablecoins represent an important new chapter in the international role of the dollar. They also concentrate new questions around reserve quality, custody, liquidity, and systemic resilience. As Kenneth recounts with remarkable balance, the events of March 2023 reminded us that even digital money ultimately depends upon the strength of the institutions supporting it. The old world and the new are increasingly becoming one, and it is at their intersection that both the greatest opportunities and the greatest responsibilities lie.

From where I sit in Singapore, this is not a Western story exported to the rest of the world. Some of the most thoughtful regulatory frameworks have emerged in Singapore, Hong Kong, and the United Arab Emirates, while much of the strongest demand is coming from emerging economies across Asia, Africa, the Middle East, and Latin America. A significant part of the future of digital money will be written in these regions.

That is why this book matters.

There is no shortage of crypto evangelism, nor of crypto skepticism. There is far less writing that treats the subject seriously, while remaining grounded in how finance actually works. Kenneth writes neither as a cheerleader nor as a critic, but as a practitioner. He traces the evolution from the earliest experiments, through regulated issuers, legislative milestones, and the institutional build-out now underway. The result is a book that is accessible enough for readers approaching the subject for the first time, yet sufficiently rigorous to reward those already working in the field.

The infrastructure of the next era of money is being built now: in code, in legislation, and in the decisions institutions make about whether to lead, to follow, or simply to watch. *Internet Money* is one of the clearest guides I have read to that transformation. It is a timely book about a subject that will not wait.

Alex Manson
CEO, SC Ventures

PART I

**WHAT
IS MONEY,
REALLY?**



Calle Florida, the pedestrian shopping street in central Buenos Aires where currency exchange touts once clustered. Today, the *cuevas* compete with smartphone apps.

PHOTO: WIKIMEDIA COMMONS, CC-BY-2.5-AR

PAYDAY IN BUENOS AIRES

On the last Friday of every month, something strange happens in Buenos Aires.

It is payday. Salaries land in bank accounts across the city, denominated in Argentine pesos. And within hours—sometimes within minutes—millions of those pesos begin to disappear. Not into mattresses or safe-deposit boxes, the way an earlier generation of Argentines hoarded US hundred-dollar bills against the next crisis. The pesos disappear into phones.

Open any café in Palermo on a Friday afternoon and you will see it. A young woman at a corner table, cappuccino untouched, tapping through an app called Lemon Cash. A waiter on his break, thumbing through Binance. A freelance graphic designer at the counter, converting her entire monthly invoice into something called USDT before the exchange rate moves against her. They are all doing the same thing: turning pesos into digital dollars as fast as they can.¹

USDT—shorthand for Tether, a digital token pegged one-to-one to the US dollar—has become the informal second currency of Argentina. Not bitcoin, which is too volatile. Not the physical greenbacks that Argentines have stuffed into shoeboxes for decades, and which require a trip to a *cueva*, one of the gray-market exchange houses clustered along Calle

Florida. USDT is different. It lives on a phone. It can be bought in seconds. It doesn't lose value overnight. And increasingly, it can be spent.^{2 3}

More than a hundred businesses in Buenos Aires now accept stablecoin payments through apps like Lemon Cash and Binance Pay. You can buy a coffee with USDT in San Telmo. You can pay for a hotel room. In Mendoza, you can pay your provincial taxes with stablecoins. On Florida Street itself, alongside the old-school cuevas that have traded black-market dollars for generations, a new kind of shop front has appeared: the cueva crypto, where you can walk in with USDT on your phone and walk out with a brick of peso notes, or vice versa, at rates that track the blue dollar within a percentage point or two.

None of this is theoretical. None of it is a pilot program or a proof of concept. It is simply how a growing number of Argentines manage their money in 2026.

And the reason is brutally simple: their currency is melting.



Argentina has lived with inflation the way other countries live with weather—it is always there, sometimes mild, sometimes catastrophic, never truly gone. In 2023, annual inflation hit 161 percent. Prices didn't just rise; they lurched. A kilo of beef that cost 3,000 pesos in January cost 7,000 by December. Landlords stopped quoting rents in pesos and switched to dollars. Restaurants changed their menus weekly. The 1,000 peso note—the highest-denomination bill—was worth less than a single US dollar.

By 2025, under President Javier Milei's shock austerity program, inflation had come down to around 40 percent. That sounds like progress until you remember that 40 percent annual inflation means your savings lose roughly a third of their purchasing power every year. A middle-class salary deposited in a peso bank account in January is worth meaningfully less by June. Argentines don't need an economics degree to understand this. They feel it at the supermarket every week.⁴

For decades, the response was physical US dollars. Argentina has long been one of the most dollarized economies outside the United States, with an estimated \$200 billion in cash held by citizens—more US currency per capita than any country except the US itself. But physical dollars come with their own problems. You need to find a *cueva* willing to sell them at a decent rate. You need to carry cash. You need to store it somewhere safe. You need crisp, unmarked bills—a crumpled fifty will get you a worse rate than a clean hundred. And you cannot easily spend dollars for everyday purchases; most shops price in pesos.

Stablecoins solved almost all of these problems at once.

With USDT or USDC—another major stablecoin, issued by a US company called Circle—an Argentine can convert pesos to dollars on their phone in seconds, through a local exchange or a peer-to-peer platform. No trip to Florida Street. No physical cash to hide. No anxiety about bill condition. The digital dollars sit in a wallet on their phone, holding their value while the peso slides. And when they need pesos—for rent, for groceries, for a taxi—they convert back, instantly, at the prevailing rate.

Lemon Cash, one of Argentina's most popular crypto apps, has reported stablecoin transaction volumes increasing by more than 350 percent in single-day surges during periods of political uncertainty. Fintech startups across Buenos Aires are now offering stablecoin-denominated salaries. Freelancers who work for foreign clients—and Argentina has a large, skilled remote workforce serving US and European companies—increasingly insist on being paid in USDT, bypassing the banking system entirely. The dollars arrive on-chain, skip the official exchange rate, skip the bank's cut, and land directly in the worker's wallet within minutes.

Argentina didn't adopt stablecoins because Argentines are particularly interested in blockchain technology. Most of them couldn't tell you what blockchain a stablecoin runs on, any more than most Americans could explain how Fedwire works. Argentina adopted stablecoins because Argentines needed dollars, and stablecoins were the fastest, cheapest, most accessible way to get them.

This is the first thing to understand about the rise of stablecoins: it is not a technology story. It is a money story. People reach for stablecoins when the money they have stops working.



Argentina is the most vivid example, but it is not the only one.

In Turkey, where the lira has lost more than 80 percent of its value against the dollar since 2018, USDT trading volumes have surged on local exchanges. In Nigeria, where the naira's official and black-market rates have diverged wildly and the central bank has imposed strict capital controls, stablecoins have become a vital channel for businesses importing goods and for the country's vast diaspora sending money home. In Venezuela, where hyperinflation rendered the bolívar essentially worthless, dollar-pegged stablecoins circulate as a parallel currency in cities like Caracas. In Pakistan, with \$38 billion in annual remittance inflows and roughly two million freelancers working for international clients, stablecoin payments are increasingly common—converting to local currency through exchanges or peer-to-peer traders at fees roughly half what traditional channels charge.⁵

The pattern is consistent across all of these countries. Where local currencies are unstable, where capital controls make it difficult to access dollars through official channels, where banking infrastructure is slow or expensive or excludes large parts of the population—stablecoins fill the gap. They are not replacing banks because people want to disrupt banks. They are replacing banks because banks are not solving the problem.

And the numbers bear this out. Of the roughly \$290 billion in global stablecoin supply, an estimated two-thirds is held by individuals in emerging markets, according to the Goldman Sachs Global Institute—a figure that upends the common assumption that stablecoins are primarily a tool for crypto traders in New York and London. In 2025, Tether's USDT processed \$156 billion in transfers of \$1,000 or less—small, everyday transactions that look like remittances, payroll, savings, and peer-to-peer

payments, not speculative trading. Average daily volumes for these sub-\$1,000 transfers exceeded \$500 million. Nine of the top twenty countries on Chainalysis's global cryptocurrency adoption index are in Asia. Sub-Saharan Africa accounted for \$200 billion in on-chain activity, with 43 percent of it in stablecoins. India, despite imposing a punishing 30 percent tax on crypto gains and a 1 percent deduction on every transaction, recorded an estimated \$338 billion in crypto inflows between mid-2024 and mid-2025—much of it in stablecoins used for cross-border payments and remittances.^{6 7 8 9 10}

While bitcoin and other volatile cryptocurrencies make the headlines—and the speculative losses—stablecoins are quietly doing the actual work of money.

Nigeria tells the story most starkly. Africa's largest economy has been locked in a long battle with its own currency. The naira lost more than 70 percent of its value between 2023 and 2025 as the Central Bank of Nigeria abandoned multiple exchange rate pegs in a series of painful devaluations. Capital controls made it difficult for ordinary Nigerians to access dollars through official channels. The response was predictable: peer-to-peer stablecoin trading exploded. By 2025, Nigeria ranked second globally in Chainalysis's crypto adoption index, behind only India, and the overwhelming majority of that activity was stablecoins—not speculation, but dollar access. Lagos market traders settled cross-border invoices in USDT. Freelancers on Upwork and Fiverr received payment in USDC and converted to naira through informal OTC networks. The central bank's own digital currency, the eNaira, launched in 2021 with great fanfare, had fewer than fifteen million wallets by 2025 in a country of 220 million people. The stablecoin economy dwarfed it.^{11 12}

Not every country followed this pattern. Brazil, Latin America's largest economy, offers an instructive counterpoint. Banco Central do Brasil launched Pix, a real-time payment system, in November 2020. Within three years it had more than 150 million registered users—in a country

of 214 million. Pix was instant, free for individuals, and available around the clock. It worked so well for domestic payments that it dampened the urgency for stablecoins in everyday commerce. But Pix stopped at the border. A Brazilian exporter paying a Chinese supplier, or a freelancer in São Paulo receiving dollars from a US client, still faced the same correspondent banking costs as everyone else. Stablecoin adoption in Brazil grew fastest not in domestic payments—where Pix had already won—but in cross-border trade settlement and as a dollar savings vehicle for the middle class hedging against periodic real depreciation.¹³

Mexico presented yet another variation. The country received over \$60 billion in remittances annually, the vast majority from the United States—the single largest bilateral remittance corridor in the world. Traditional remittance providers charged an average of 4 to 5 percent on these transfers. Bitso, Mexico’s largest crypto exchange, built a stablecoin-powered remittance rail that processed over \$10 billion in cross-border volume by 2025, partnering with US-based platforms to offer transfers that settled in minutes at a fraction of the traditional cost. The Mexican peso was relatively stable compared to the Argentine peso or Nigerian naira, so stablecoin adoption was driven less by currency flight and more by the brute economics of remittance fees.^{14 15 16}



To understand why stablecoins are spreading so fast, you need to understand what they are replacing. And to understand that, you need to see how money actually moves across borders—because almost nobody does.

Consider a simple transaction. A Filipino nurse working in Singapore wants to send \$600 home to her family in Cebu. She visits a remittance counter in Lucky Plaza, a shopping center on Orchard Road that transforms every weekend into the financial hub of Singapore’s Filipino community. She fills out a form. Shows her work permit. The agent quotes an exchange rate—a little worse than the mid-market rate she can see on her phone—and takes a flat fee of eight Singapore dollars. She hands over the

cash, gets a receipt with a reference number, and messages her mother: the money will arrive in one to three business days.

Fifteen minutes. Straightforward. She does not think about what happens next. Almost nobody does.

But what happens next is extraordinary in its complexity—and its absurdity.

The remittance company does not send her money to the Philippines. It cannot. It does not have a direct line to her mother's bank in Cebu. No remittance company does. Instead, it deposits her Singapore dollars into its own account at a local bank—let us call it Bank A. Bank A does not have a branch in the Philippines either. What it does have is a relationship with a larger international bank—Bank B—that maintains what is known as a correspondent banking arrangement with a Philippine bank, Bank C. These relationships are the hidden scaffolding of international finance: bilateral agreements between banks that allow them to process payments on each other's behalf, in each other's countries, in each other's currencies.

To make this work, Banks A, B, and C maintain accounts with each other called *nostro* and *vostro* accounts—from the Italian for “ours” and “yours.” These are pre-funded pools of money that sit in each bank, denominated in the other bank's currency. When the nurse's transfer is initiated, no money physically moves anywhere. Instead, Bank A sends a SWIFT message—a standardized electronic instruction, essentially a glorified telegram (see page 24 for the history of SWIFT)—to Bank B, instructing it to debit its *nostro* account and credit Bank C's account in Philippine pesos. Bank C, upon receiving its own SWIFT message, credits the nurse's mother's account. The actual settlement—the reconciliation of who owes what to whom—happens later, sometimes much later, in a batch process that may take hours or days.

That is the simple version. In practice, it is often worse. If Bank A does not have a correspondent relationship with any Philippine bank, the message routes through an additional intermediary—a fourth bank that

sits between the two. Some corridors require two or three intermediaries. Each bank in the chain must independently verify the transaction for compliance with sanctions lists, anti-money-laundering regulations, and counterterrorism financing requirements. Each one holds the funds temporarily while it conducts these checks. Each one applies its own processing schedule—which may or may not align with business hours in the other banks' time zones. And each one takes a cut: a processing fee, an FX spread, a lifting charge, or simply the economic benefit of holding someone else's money for forty-eight hours before passing it along.

The foreign exchange conversion adds another layer. At some point in this chain, the nurse's Singapore dollars need to become Philippine pesos. She was quoted an exchange rate at the counter, but that rate already included a markup—typically 1 to 2 percent above the mid-market rate. There may be additional spreads applied between the correspondent banks, invisible to her and baked into the transaction. By the time the pesos arrive in her mother's account in Cebu, the total cost of moving \$600—the flat fee, the exchange rate markups, the intermediary charges—is somewhere between 5 and 8 percent. That is \$30 to \$48, vanished into the machinery.

The World Bank estimated that the global average cost of sending \$200 was 6.5 percent in 2025. That figure has barely moved in a decade, despite relentless innovation in nearly every other corner of financial technology. In some corridors it is far worse. Sending money from South Africa to neighboring Mozambique can cost over 15 percent. Sub-Saharan Africa, which arguably needs cheap remittances more than any other region, consistently has the highest transfer costs in the world.^{17 18}

And this is just remittances—the small, emotionally legible transfers that attract the most public sympathy. The same broken architecture affects every form of cross-border money movement, and the larger the transaction, the more the dysfunction compounds.

A Vietnamese manufacturing firm paying a Thai supplier for raw materials faces the same gauntlet of correspondent banks, but at a scale

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kennethbok.com | ken@blocks.sg